

Scenario Assessment

# ALIGNMENT ON APPROACH & REQUIRED INPUT

October 1, 2025

**ROHDE & SCHWARZ**

Make ideas real



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Scenario Assessment

# OVERVIEW

# WE EXTEND OUR BUSINESS PLANNING BY INCORPORATING GEOPOLITICAL SCENARIOS AND DISRUPTIVE EFFECTS

## CONTEXT

### Objective:

Extending business planning with scenarios to integrate adaptability and scalability into the process

### Scope:

- Divisions: 1, 8 and 11
- Horizon: 10 years
- KPIs: Order Intake, Revenue

## FRAMEWORK

### Geopolitical Scenarios (Focus Europe)

#### Scenario 1

Peace with  
budget cuts

#### Scenario 2 (base)

Increased  
readiness

#### Scenario 3

Strategic  
autonomy

### Disruptive Effects

#### Effect 1

China invades Taiwan

#### Effect 2

BRICS economic fragmentation

#### Effect 3

Accelerated Chinese market push

# WE ANALYZE THREE GEOPOLITICAL PATHWAYS FROM PEACE WITH BUDGET CUTS TO STRATEGIC AUTONOMY

|                               | <b>Scenario 1</b><br>Peace with budget cuts                                                                                                                                                                                                                                                                           | <b>Scenario 2 (base)</b><br>Increased readiness                                                                                                                                                                                                                                                                                                    | <b>Scenario 3</b><br>Strategic autonomy                                                                                                                                                                                                                                                                            |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Geopolitical situation</b> | <b>Less military pressure</b> <ul style="list-style-type: none"> <li>Ukraine conflict stabilizes through ceasefire or peace agreement</li> <li>Military threat level in Europe decreases significantly</li> <li>Political priorities shift toward civilian issues</li> </ul>                                          | <b>Ongoing tensions</b> <ul style="list-style-type: none"> <li>Ukraine conflict remains unresolved, ongoing instability</li> <li>Security situation tense but without escalation</li> <li>NATO partners intensify cooperation and presence</li> </ul>                                                                                              | <b>Growing conflicts</b> <ul style="list-style-type: none"> <li>Ukraine conflict unresolved, geopolitical tensions escalate</li> <li>Bloc formations emerge, even within existing alliances</li> <li>Global supply chains disrupted or broken, import dependencies critical</li> </ul>                             |
| <b>Consequences</b>           | <b>Lower defense budgets</b> <ul style="list-style-type: none"> <li>Defense budgets decrease or are redirected to civilian programs (infrastructure, climate, digitaliz.)</li> <li>Defense procurements are stretched, reduced, or postponed</li> <li>Demand for civilian and dual-use solutions increases</li> </ul> | <b>Moderate defense budgets</b> <ul style="list-style-type: none"> <li>Defense budgets rise moderately (Germany ~2.5–3% GDP, other NATO states +1–2%)</li> <li>Additional investments in modernization, stockpiling, and higher readiness</li> <li>Supply chains remain functional but show first weaknesses → need for diversification</li> </ul> | <b>Higher defense budgets</b> <ul style="list-style-type: none"> <li>Defense budgets rise significantly (&gt;3% GDP)</li> <li>Political will focuses on European/national independence in critical areas</li> <li>Demand for locally produced solutions and regional re-/nearshoring increases strongly</li> </ul> |

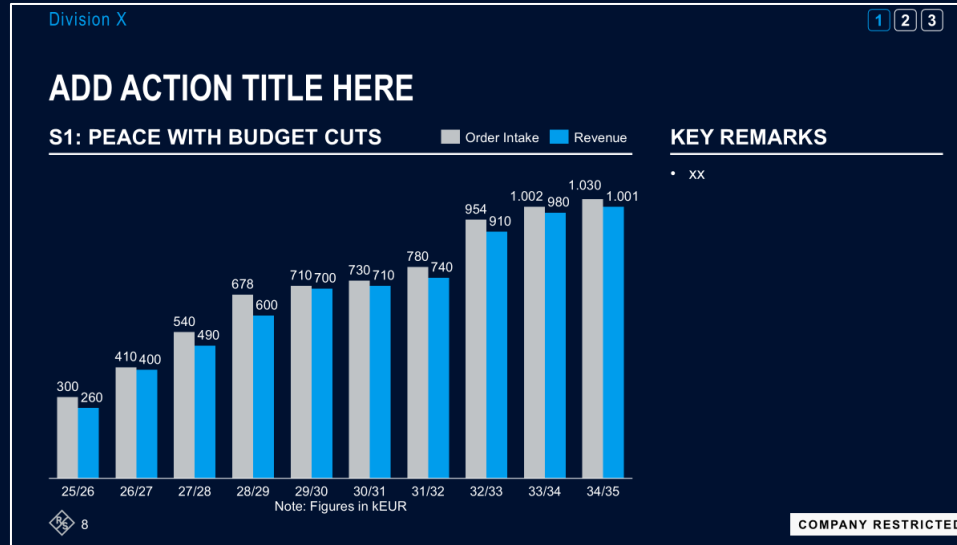
# WE CONSIDER A RANGE OF DISRUPTIVE EFFECTS

|                                                    | Situation                                                                               | Potential trigger signals                                                                                                                                                                                                                                                         | Consequences                                                                                                                                                                                                                                                            |
|----------------------------------------------------|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Effect 1</b><br>China invades Taiwan            | Military invasion or blockade of Taiwan destabilizes regional and global security order | <ul style="list-style-type: none"> <li>• Official confirmation of military action/blockade</li> <li>• Immediate coordinated sanctions by G7/EU/US</li> </ul>                                                                                                                      | <ul style="list-style-type: none"> <li>• Severe disruption of semiconductor and advanced tech supply chains</li> <li>• Global trade flows restricted by sanctions and blockades</li> <li>• NATO/US/EU forced into large-scale deterrence and defense buildup</li> </ul> |
| <b>Effect 2</b><br>BRICS economic fragmentation    | BRICS countries formalize an inward-looking economic bloc, reducing global integration  | <ul style="list-style-type: none"> <li>• Tariffs/ import bans on Western goods in multiple BRICS markets</li> <li>• BRICS mandatory currency/ payment system replacing USD</li> <li>• Formal BRICS free-trade agreement excluding Western countries</li> </ul>                    | <ul style="list-style-type: none"> <li>• Tariffs, local-content rules, and parallel payment systems limit Western access</li> <li>• Declining market opportunities for Western firms in BRICS countries</li> </ul>                                                      |
| <b>Effect 3</b><br>Accelerated Chinese market push | State-backed Chinese export campaigns expand much faster than anticipated               | <ul style="list-style-type: none"> <li>• Chinese government announces major export programs or subsidies</li> <li>• Western firms lose key tenders to aggressive Chinese expansion</li> <li>• Chinese M&amp;A activity or internal sales reports show accelerated push</li> </ul> | <ul style="list-style-type: none"> <li>• Aggressive pricing and subsidies erode margins of incumbents</li> <li>• Chinese firms rapidly win contracts, displacing Western suppliers<br/>→ market dynamics shift abruptly toward Chinese dominance</li> </ul>             |

Scenario Assessment

# DIVISION X

*Please provide order intake revenue in form of absolute figures (kEUR) per year from 2025/26 until 2034/35*

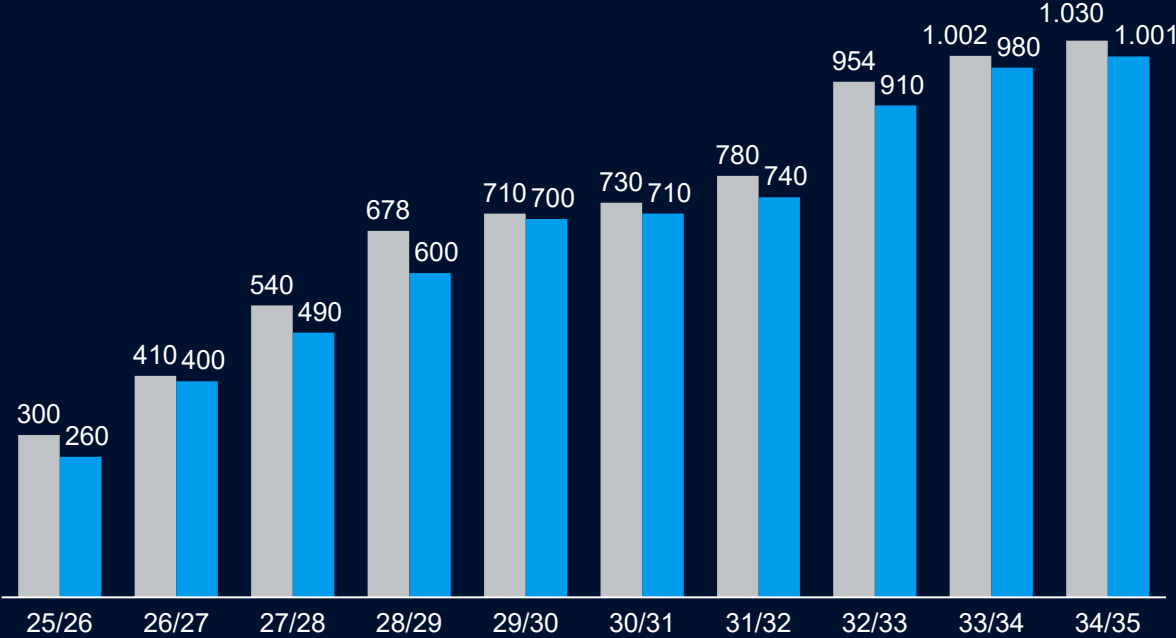


*Please add key assumptions and comments on scenario impact. If space is insufficient use an additional slide for remarks; we will consolidate later.*

# ADD ACTION TITLE HERE

## S1: PEACE WITH BUDGET CUTS

Order Intake Revenue



Note: Figures in kEUR

## KEY REMARKS

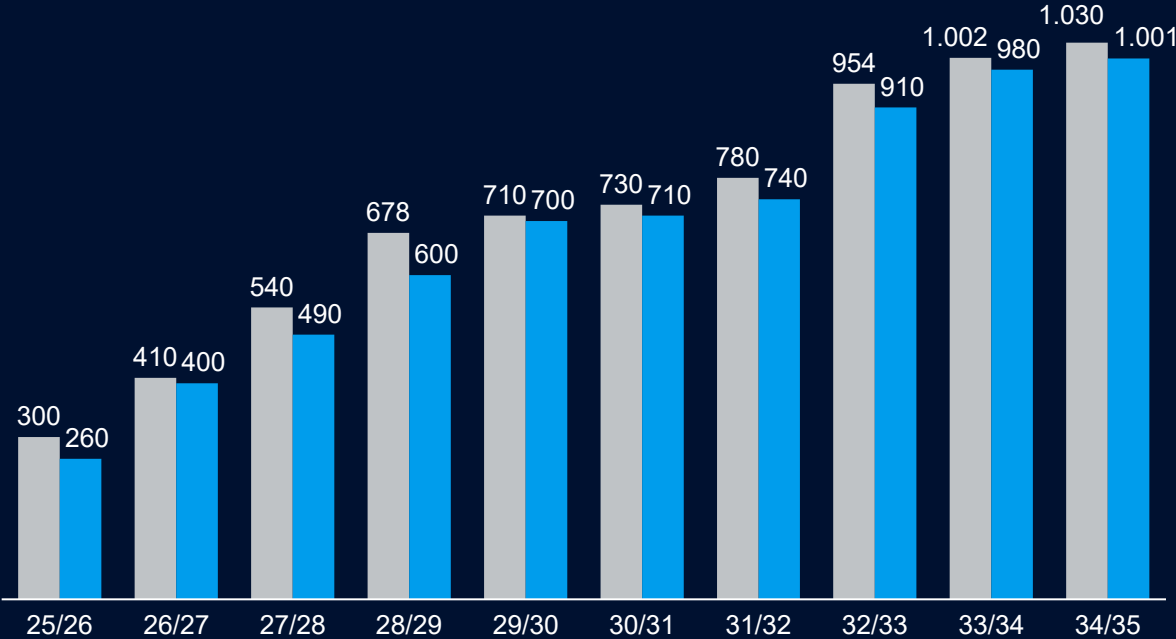
- XX



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## S2: INCREASED READINESS

Order Intake Revenue



Note: Figures in kEUR

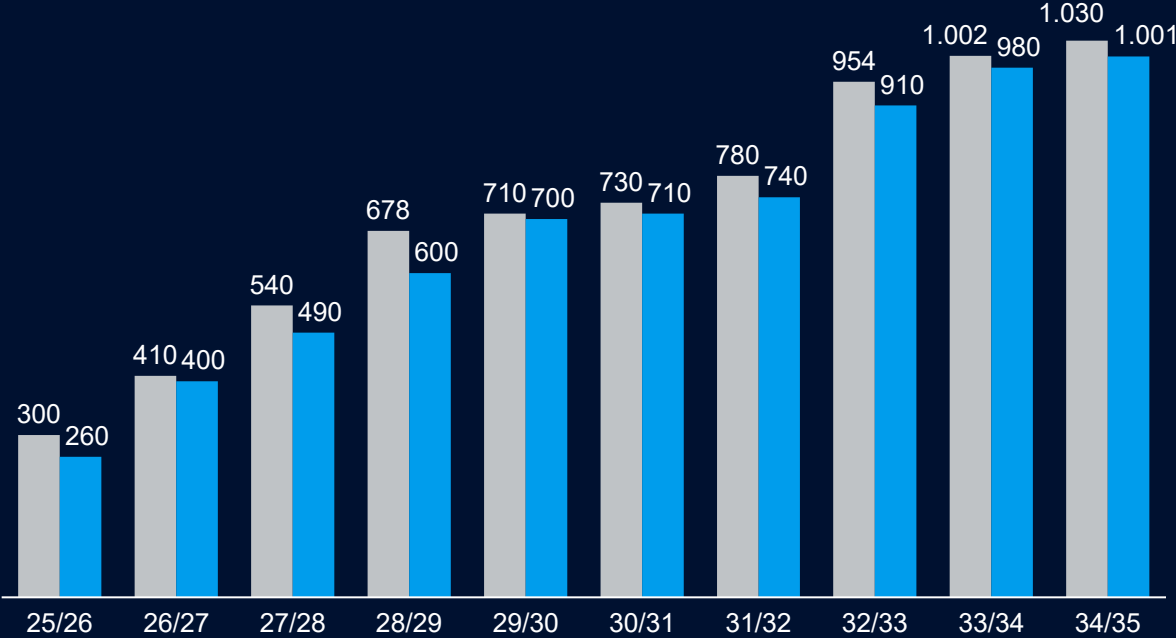
## KEY REMARKS

- XX

# ADD ACTION TITLE HERE

## S3: STRATEGIC AUTONOMY

Order Intake Revenue



Note: Figures in kEUR

## KEY REMARKS

- XX

**Quantify effect per KPI:**  
For each disruptive effect, please estimate the percentage impact (-x %) on order intake and revenue.

**Specify separately for:**

- Year 1 (when effect first materializes)
- Years 2-5 (medium-term impact)
- Years 6-10 (longer-term impact)

| Division X                                                                           |              |        |          |           |                    |
|--------------------------------------------------------------------------------------|--------------|--------|----------|-----------|--------------------|
| ADD ACTION TITLE HERE                                                                |              |        |          |           |                    |
| IMPACT OF DISRUPTIVE EFFECTS (%)                                                     |              |        |          |           | KEY REMARKS        |
| <b>Effect 1</b><br>China invades Taiwan                                              | KPI          | Year 1 | Year 2-5 | Year 6-10 | • xx               |
|                                                                                      | Order Intake |        |          |           |                    |
|                                                                                      | Revenue      |        |          |           |                    |
| <b>Effect 2</b><br>BRICS Economic Fragmentation                                      | KPI          | Year 1 | Year 2-5 | Year 6-10 | • xx               |
|                                                                                      | Order Intake |        |          |           |                    |
|                                                                                      | Revenue      |        |          |           |                    |
| <b>Effect 3</b><br>Accelerated Chinese Market Push                                   | KPI          | Year 1 | Year 2-5 | Year 6-10 | • xx               |
|                                                                                      | Order Intake |        |          |           |                    |
|                                                                                      | Revenue      |        |          |           |                    |
|  12 |              |        |          |           | COMPANY RESTRICTED |

Please add key assumptions and comments on effect impact. If space is insufficient use an additional slide for remarks; we will consolidate later.

# ADD ACTION TITLE HERE

## IMPACT OF DISRUPTIVE EFFECTS (%)

## KEY REMARKS

|                                                    |              |        |          |           |      |
|----------------------------------------------------|--------------|--------|----------|-----------|------|
| <b>Effect 1</b><br>China invades Taiwan            | KPI          | Year 1 | Year 2-5 | Year 6-10 | • XX |
|                                                    | Order Intake |        |          |           |      |
|                                                    | Revenue      |        |          |           |      |
| <b>Effect 2</b><br>BRICS Economic Fragmentation    | KPI          | Year 1 | Year 2-5 | Year 6-10 | • XX |
|                                                    | Order Intake |        |          |           |      |
|                                                    | Revenue      |        |          |           |      |
| <b>Effect 3</b><br>Accelerated Chinese Market Push | KPI          | Year 1 | Year 2-5 | Year 6-10 | • XX |
|                                                    | Order Intake |        |          |           |      |
|                                                    | Revenue      |        |          |           |      |

# INPUT STRATEGIETAG

# SZENARIO 1 – ERHÖHTE BEREITSCHAFT

- Die geopolitische Lage bleibt angespannt, aber stabil.
- Die deutsche Regierung erhöht das Verteidigungsbudget moderat (~2,5 - 3 % des BIP). Andere NATO Staaten erhöhen alle ihre Verteidigungsbudgets um delta 1 ... 2 %.
- Der Bedarf richtet sich auf Modernisierung, Bevorratung und höhere Einsatzbereitschaft.
- Lieferketten funktionieren grundsätzlich, zeigen jedoch erste Schwächen.

**Ziel:** Aufbau von Resilienz – noch kein Krisenmodus, aber verstärkte Nachfrage.

# SZENARIO 2 – STRATEGISCHE AUTARKIE

- Die geopolitische Situation verschärft sich, es kommt zu Blockbildungen auch innerhalb der Bündnisse.
- Globale Lieferketten sind gestört oder unterbrochen, Importabhängigkeiten werden kritisch.
- Das Verteidigungsbudget steigt deutlich ( $>3\%$  des BIP)

**Ziel:** europäische oder nationale Unabhängigkeit in sicherheitskritischen Bereichen. Entsprechend wächst die Nachfrage nach robusten, lokal gefertigten Lösungen.

**Quantify effect per KPI:**  
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Division X

ADD ACTION TITLE HERE

IMPACT OF DISRUPTIVE EFFECTS (%)

KEY REMARKS

Effect 1  
China invades Taiwan

| KPI          | Year 1 | Year 2-5 | Year 6-10 |
|--------------|--------|----------|-----------|
| Order Intake |        |          |           |
| Revenue      |        |          |           |

• XX

Effect 2  
BRICS Economic Fragmentation

| KPI          | Year 1 | Year 2-5 | Year 6-10 |
|--------------|--------|----------|-----------|
| Order Intake |        |          |           |
| Revenue      |        |          |           |

• XX

Effect 3  
Accelerated Chinese Market Push

| KPI          | Year 1 | Year 2-5 | Year 6-10 |
|--------------|--------|----------|-----------|
| Order Intake |        |          |           |
| Revenue      |        |          |           |

• XX

12

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## IMPACT OF DISRUPTIVE EFFECTS (%)

## KEY REMARKS

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|----------------------------------------------------|--------------|--------|----------|-----------|------|
|                                                    | Order Intake |        |          |           |      |
|                                                    | Revenue      |        |          |           |      |
|                                                    |              |        |          |           |      |
| <b>Effect 2</b><br>BRICS Economic Fragmentation    | KPI          | Year 1 | Year 2-5 | Year 6-10 | • XX |
|                                                    | Order Intake |        |          |           |      |
|                                                    | Revenue      |        |          |           |      |
|                                                    |              |        |          |           |      |
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|                                                    | Order Intake |        |          |           |      |
|                                                    | Revenue      |        |          |           |      |
|                                                    |              |        |          |           |      |